

Thirteenth Edition

BUSINESS ETHICS

Ethical Decision Making and Cases

O.C. Ferrell
John Fraedrich
Linda Ferrell

Chapter 2

Stakeholder Relationships, Social Responsibility, and Corporate Governance

Learning Objectives

By the end of this chapter, you should be able to:

- Identify stakeholders' roles in business ethics
- Define social responsibility
- Examine the relationship between stakeholder orientation and social responsibility
- Delineate a stakeholder orientation in creating corporate social responsibility
- Explore the role of corporate governance in structuring ethics and social responsibility in business
- List the steps involved in implementing a stakeholder perspective in social responsibility and business ethics

Icebreaker

- What does the term “stakeholder” mean to you?
- Social responsibility is an organization’s obligation to maximize its positive impact on stakeholders and minimize its negative impact. Can you think of any companies that are socially responsible?

2-1

Stakeholders Define Ethical Issues in Business

Stakeholders Define Ethical Issues in Business 1 of 6

- **Stakeholders** – Those who have a “stake” or claim in some aspect of a company’s products, operations, markets, industry, and outcomes

Customers

Shareholders

Employees

Suppliers

Government
Agencies

Communities

Stakeholders Define Ethical Issues in Business 2 of 6

- Normative – Identifies ethical guidelines that dictate how firms should treat stakeholders
- Descriptive – Focuses on the firm's behavior; addresses how decisions are made for stakeholder relationships
- Instrumental – Describes what happens if firms behave in a particular way

FIGURE 2-1 The Impact of a Strong Organizational Culture

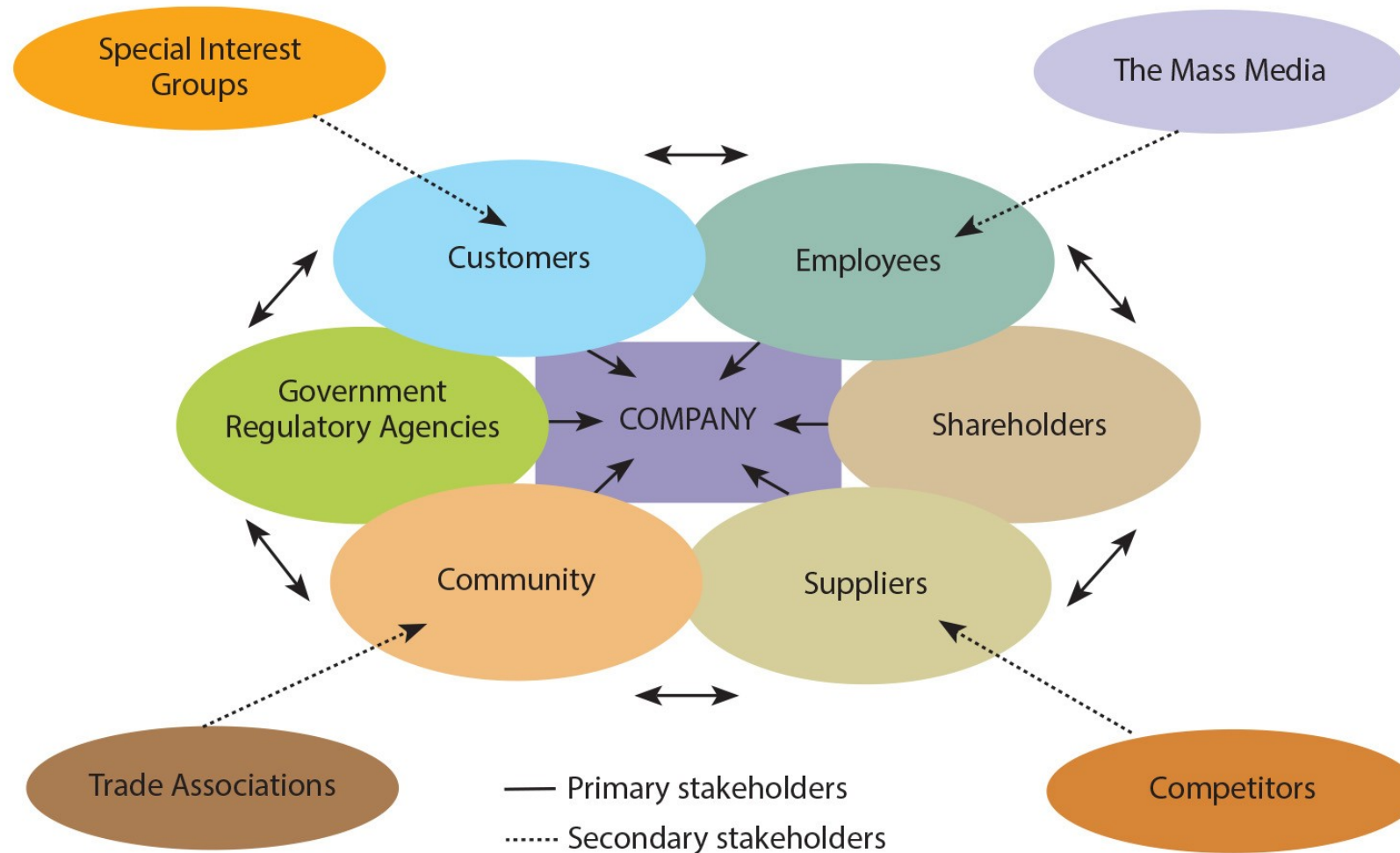


Stakeholders Define Ethical Issues in Business 3 of 6

Identifying Stakeholders

- **Primary stakeholders** – Those whose continued association and resources are absolutely necessary for a firm's survival
 - Employees, customers, and shareholders, as well as the governments and communities that provide necessary infrastructure
- **Secondary stakeholders** – Stakeholders who do not typically engage directly in transactions with a company and are therefore not essential to its survival
 - Media, trade associations, and special interest groups
- **Stakeholder interaction model** – This approach recognizes other stakeholders and explicitly acknowledges that dialogue exists between a firm's internal and external environments.

FIGURE 2-2 Interactions Between a Company and Its Primary and Secondary Stakeholders



Stakeholders Define Ethical Issues in Business 4 of 6

A Stakeholder Orientation

- **Stakeholder orientation** – The degree to which a firm understands and addresses stakeholder demands
- Activities that address stakeholder demands include:
 - Organization-wide generation of data about stakeholder groups and assessment of the firm's effects on these groups
 - Distribution of this information throughout the firm
 - Responsiveness of the organization as a whole to this information

Stakeholders Define Ethical Issues in Business 5 of 6

- To generate data about stakeholders:



Stakeholders Define Ethical Issues in Business 6 of 6

- It is essential for information gathered to be circulated throughout the firm.
- A stakeholder orientation is not complete without including activities that address stakeholder issues.
 - Activities are likely specific to a particular stakeholder group or issue.
- Firms are likely to adopt a stakeholder orientation to varying degrees.
 - To gauge a firm's stakeholder orientation, evaluate:
 - The extent the firm adopts behaviors that typify the generation and dissemination of stakeholder intelligence
 - The responsiveness to this intelligence

Knowledge Check

Question: Shareholders are what type of stakeholders?

2-2

Social Responsibility and Business Ethics

Social Responsibility and Business Ethics 1 of 2

- Ethics and social responsibility are not the same but are interrelated.
 - Social responsibility is an organization's obligation to maximize its positive impact on stakeholders and minimize its negative impact.
- There are four levels of social responsibility:

Economic

Legal

Ethical

Philanthropic

Social Responsibility and Business Ethics 2 of 2

- **Corporate citizenship** – The extent to which businesses strategically meet the economic, legal, ethical, and philanthropic responsibilities placed on them by various stakeholders
- Four interrelated dimensions:
 - Strong sustained economic performance
 - Rigorous compliance
 - Ethical actions beyond what the law requires
 - Voluntary contributions that advance the reputation and stakeholder commitment of the organization
- **Reputation** – A corporation's image and an intangible asset with tangible value

2-3

Issues in Social Responsibility

Issues in Social Responsibility 1 of 2

- Social responsibility rests on a stakeholder orientation.
 - Each stakeholder is given due consideration.
 - Long-term relationships with stakeholders develop trust, loyalty, and the performance necessary to maintain profitability.
- Social issues are associated with the common good.
 - These can relate directly or indirectly to business.

Issues in Social Responsibility 2 of 2

- Major issues today include data privacy, consumer protection, sustainability, and corporate governance.
 - **Corporate governance** – The development of formal systems of accountability, oversight, and control
 - Strong corporate governance mechanisms remove the opportunity for employees to make unethical decisions.

2-4

Social Responsibility and the Importance of a Stakeholder Orientation

Social Responsibility and the Importance of a Stakeholder Orientation 1 of 1

- Legal and economic responsibilities are generally accepted as the most important determinants of performance.
- Economist Milton Friedman suggests the market is a better deterrent to wrongdoing than new laws and regulations.
- Adam Smith, founder of capitalism, said each individual has to produce for the common good.
 - Smith established normative expectations for motives and behaviors in his theories about the invisible hand.
- Evidence suggests caring about the well-being of stakeholders leads to increased profits.

2-5

Corporate Governance Provides Formalized Responsibility to Stakeholders

Corporate Governance Provides Formalized Responsibility to Stakeholders 1 of 8

- Most businesses operate under the assumption that the purpose of business is to maximize profits for shareholders.
- The stakeholder model places the board of directors in the position of balancing the interests and conflicts of a company's various constituencies.
- External control of a corporation resides with government regulators and key stakeholders (e.g., employees, consumers, and communities).
 - Stakeholders exert pressure on the organization for responsible conduct.
- Social responsibility activities have a positive impact on consumer identification with an attitude toward the brand.

Corporate Governance Provides Formalized Responsibility to Stakeholders 2 of 8

- Fiduciaries are persons placed in positions of trust that act on behalf of the best interests of the organization (e.g., directors and officers of corporations).
 - Directors are not generally held responsible for negative outcomes if they have been informed and are diligent in their decision making.
- **Duty of care (duty of diligence)** – The legal obligation of an individual or organization to make informed and prudent decisions and avoid behavior that could cause harm to others
- **Duty of loyalty** – The obligation of individuals to make decisions that are in the best interest of the corporation and its stakeholders

Corporate Governance Provides Formalized Responsibility to Stakeholders 3 of 8

- Accountability – How closely workplace decisions align with a firm's stated strategic direction and its compliance with ethical and legal considerations
- Oversight – Provides a system of checks and balances that limit employees' and managers' opportunities to deviate from policies and strategies aimed at preventing unethical and illegal activities
- Control – Process of auditing, improving organizational decisions and actions

Corporate Governance Provides Formalized Responsibility to Stakeholders 4 of 8

- Corporate governance establishes fundamental systems and processes for:
 - Preventing and detecting misconduct
 - Investigating and disciplining
 - Recovery and continuous improvement
- The development of a stakeholder orientation should interface with the corporation's governance structure.
- Corporate governance normally involves strategic decisions and actions by boards of directors, business owners, top executives, and other managers with high levels of authority and accountability.

Corporate Governance Provides Formalized Responsibility to Stakeholders 5 of 8

Views of Corporate Governance

- **Shareholder model of corporate governance** – Founded in classic economic precepts, including the goal of maximizing wealth for investors and owners
 - For publicly traded firms, corporate governance focuses on developing and improving the formal system for maintaining performance accountability between top management and the firm's shareholders.
- **Stakeholder model of corporate governance** – A broader view of the purpose of business that considers stakeholder welfare in tandem with corporate needs and interests

Corporate Governance Provides Formalized Responsibility to Stakeholders 6 of 8

The Role of Boards of Directors

- Boards of directors hold the ultimate responsibility for their firms' success or failure, as well as the ethics of their actions.
 - FSGO holds them accountable for creating an ethical culture that provides leadership, values, and compliance.
 - Assume legal responsibility for the firm's resources and decision
 - Responsible for appointing top executive officers
- There is a new emphasis on accountability for board members.

Corporate Governance Provides Formalized Responsibility to Stakeholders 7 of 8

Greater Demand for Accountability and Transparency

- Directors are increasingly chosen for their expertise, competence, and ability to bring diverse perspectives to strategic discussions.
- Outside directors do not have a vested interest.
- **Interlocking directorate** — The concept of board members being linked to more than one company
 - Legal unless it involves a direct competitor

Corporate Governance Provides Formalized Responsibility to Stakeholders 8 of 8

Executive Compensation

- **Executive compensation** – How executives are compensated for their leadership, organizational service, and performance
- Was influenced by internal equity (how executive pay relates to employee pay)
- Shifted to a system of external equity (what CEOs at other companies are paid)
 - Caused executive compensation to increase
- Ratio of the salaries of the highest-paid executives to the median employee wage should be less
- Stakeholders support a high level of compensation only when it is linked to strong company performance

Discussion Activity

- What are current topics in governance?
- What areas do you think should or will become hot topics in the near future?

Discussion Activity Debrief

Are the topics you discussed listed below? What would you add to this list?

- Environmental, social, and governance oversight
- Human capital management
- Audit committee oversight of internal controls
- Corporate culture
- Whistle-blower protections
- Board diversity
- Representation of women on boards
- Hedging policy disclosure rules

2-6

Implementing a Stakeholder Perspective

Implementing a Stakeholder Perspective 1 of 3

- **Step 1: Assessing the Corporate Culture**
 - Identify the organizational mission, values, norms, and behavior likely to have implications for social responsibility
- **Step 2: Identifying Stakeholder Groups**
 - Recognize stakeholder needs, wants, and desires
- **Step 3: Identifying Stakeholder Issues**
 - Level of stakeholders' power and legitimacy determines degree of urgency

Implementing a Stakeholder Perspective 2 of 3

- **Step 4: Assessing Organizational Commitment to Stakeholders and Social Responsibility**
 - Used to evaluate current practices and to select concrete social responsibility initiatives
 - Social responsibility disclosures in company annual reports are directly related to the quality of corporate governance.
- **Step 5: Identifying Resources and Determining Urgency**
 - Two main criteria: (1) Level of financial and organizational investments required by different actions and (2) urgency when prioritizing social responsibility challenges
 - When the challenge under consideration is viewed as significant and stakeholder pressures on the issue can be expected, the challenge is considered urgent.

Implementing a Stakeholder Perspective 3 of 3

- **Step 6: Gaining Stakeholder Feedback**
 - A general assessment of a firm and its practices can be obtained through satisfaction or reputation surveys.
 - To gauge stakeholders' perceptions of a firm's contributions to specific issues, stakeholder-generated media such as blogs, websites, podcasts, and newsletters can be assessed.
 - Formal research may be conducted using focus groups, observation, and surveys.

2-7

Contributions of a Stakeholder Perspective

Contributions of a Stakeholder Perspective

- While we provide a framework for implementing a stakeholder perspective, balancing stakeholder interests requires information and good judgment.
- When businesses attempt to provide what consumers want, broader societal interests can create conflicts.
- Balancing stakeholder interests can be a challenging process.